



INDIAN POLITY

ENACTMENT OF BUDGET

MODULE – 69



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WHY CAN'T THE CHARGED EXPENDITURE BE VOTED?

- The budget shows the estimated receipts and expenditure of the upcoming Financial Year.
- Non-votable charges are called Charged Expenditures; and no voting takes place for the amount involved in these expenditures for their withdrawal from Consolidated Fund of India.
- This means that they have to be paid in any case, whether the budget is passed or not passed.
- The above expenditures cannot be voted because these payments are **deemed to be guaranteed by the state**.
- Although voting does not take place on such charges, discussion can take place in any house of the parliament.

- The budget consists of two types of expenditure—the expenditure '**charged**' upon the Consolidated Fund of India and the expenditure '**made**' from the Consolidated Fund of India.
- The **charged expenditure is non-votable by the Parliament**, that is, it **can only be discussed** by the Parliament, while the other type has to be **voted** by the Parliament.

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CHARGED EXPENDITURE

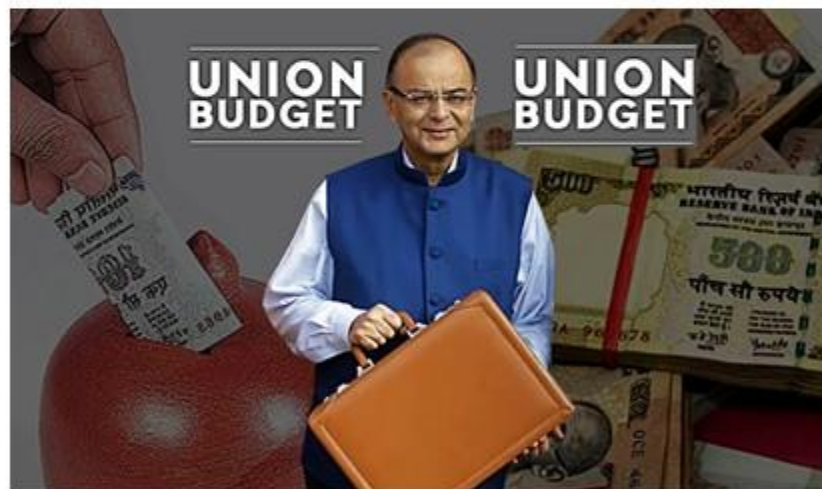
The list of the charged expenditure is as follows:

1. Emoluments and allowances of the **President** and other expenditure relating to his office.
2. Salaries and allowances of the **Chairman and the Deputy Chairman** of the Rajya Sabha and the **Speaker and the Deputy Speaker** of the Lok Sabha.
3. Salaries, allowances and pensions of the judges of the Supreme Court.
4. **Pensions** of the judges of high courts.
5. Salary, allowances and pension of the **Comptroller and Auditor General of India**.
6. Salaries, allowances and pension of the chairman and members of the **UPSC**.
7. **Administrative expenses** of the Supreme Court, the office of the CAG of India and the UPSC including the salaries, allowances and pensions of the persons serving in these offices.
8. The **debt charges** for which the Govt. of India is liable, including interest, sinking fund charges and redemption charges and other expenditure relating to the raising of loans and the service and redemption of debt.
9. Any sum required to satisfy any **judgement, decree or award** of any court or arbitral tribunal.
10. Any other **expenditure** declared by the Parliament to be so charged.

PARLIAMENT

STAGES IN ENACTMENT

The budget goes through the following six stages in the Parliament:



- 1 Presentation of budget.
- 2 General discussion.
- 3 Scrutiny by departmental committees.
- 4 Voting on demands for grants.
- 5 Passing of Appropriation bill.
- 6 Passing of Finance bill.

PARLIAMENT

STAGES IN ENACTMENT

1 PRESENTATION OF BUDGET

- 1 The Finance Minister presents the General Budget with a speech known as the 'budget speech'.
- 2 At the end of the speech in the Lok Sabha, the budget is laid before the Rajya Sabha, which can only discuss it and has no power to vote on the demands for grants.

2 GENERAL DISCUSSION

- 1 The general discussion on budget begins a few days after its presentation.
- 2 It takes place in both the Houses of Parliament and lasts usually for three to four days.
- 3 During this stage, the Lok Sabha can discuss the budget as a whole or on any question of principle involved therein but no cut motion can be moved nor can the budget be submitted to the vote of the House.
- 4 The Finance Minister has a general right of reply at the end of the discussion.

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STAGES IN ENACTMENT

3 SCRUTINY BY DEPARTMENTAL COMMITTEES



1 After the general discussion on the budget is over, **the Houses are adjourned for about three to four weeks.**

2 During this gap period, **the 24 departmental standing committees of Parliament** examine and discuss in detail the demands for grants of the concerned ministers and prepare reports on them.

3 These reports are submitted to both the Houses of Parliament for consideration.

4 The **DRSC system established in 1993** (and expanded in 2004) makes parliamentary financial control over ministries much more detailed, close, in-depth and comprehensive.

STAGES IN ENACTMENT

4 VOTING ON DEMANDS FOR GRANTS

1 In the light of the reports of the departmental standing committees, the Lok Sabha takes up voting of demands for grants.

2 The demands are presented ministry-wise.

3 A demand becomes a grant after it has been duly voted.

4 Each demand is voted separately by the Lok Sabha.

5 Two points should be noted in this context.

- One, the voting of demands for grants is the exclusive privilege of the Lok Sabha, that is, the Rajya Sabha has no power of voting the demands.
- Second, the voting is confined to the votable part of the budget— the expenditure charged on the Consolidated Fund of India is not submitted to the vote (it can only be discussed).

6 During this stage, the members of Parliament can discuss the details of the budget.

7 They can also move motions to reduce any demand for grant.

PARLIAMENT

STAGES IN ENACTMENT

4 VOTING ON DEMANDS FOR GRANTS

Such motions are called as 'cut motion', which are of three kinds:

(A) POLICY CUT MOTION

You disagree with the policy of the government.

(B) ECONOMY CUT MOTION

You think this policy will have a disastrous effect on the economy of the nation.

(C) TOKEN CUT MOTION

To ventilate a specific grievance, you move this motion.

PARLIAMENT

STAGES IN ENACTMENT

4 VOTING ON DEMANDS FOR GRANTS

(A) POLICY CUT MOTION

- 1 It represents the disapproval of the policy underlying the demand.
- 2 It states that the amount of the demand be reduced to Re 1.
- 3 The members can also advocate an alternative policy.
- 4 A member giving notice of such a motion shall indicate in precise terms the particulars of the policy which he proposes to discuss.
- 5 The discussion shall be confined to the specific point or points mentioned in the notice and it shall be open to members to advocate an alternative policy;

If a cut motion is adopted by Parliament and the government does not have the numbers, it is obliged to resign as per rules of the Lok Sabha.

(B) ECONOMY CUT MOTION

- 1 It represents the **economy** that can be affected in the proposed expenditure.



CUT MOTION

- 2 It states that the amount of the demand be **reduced by a specified amount** (which may be either a lump sum reduction in the demand or omission or reduction of an item in the demand).
- 3 The notice shall indicate briefly and precisely the particular matter on which discussion is sought to be raised and speeches shall be confined to the **discussion as to how economy can be effected**

PARLIAMENT

STAGES IN ENACTMENT

4 VOTING ON DEMANDS FOR GRANTS

(C) TOKEN CUT MOTION

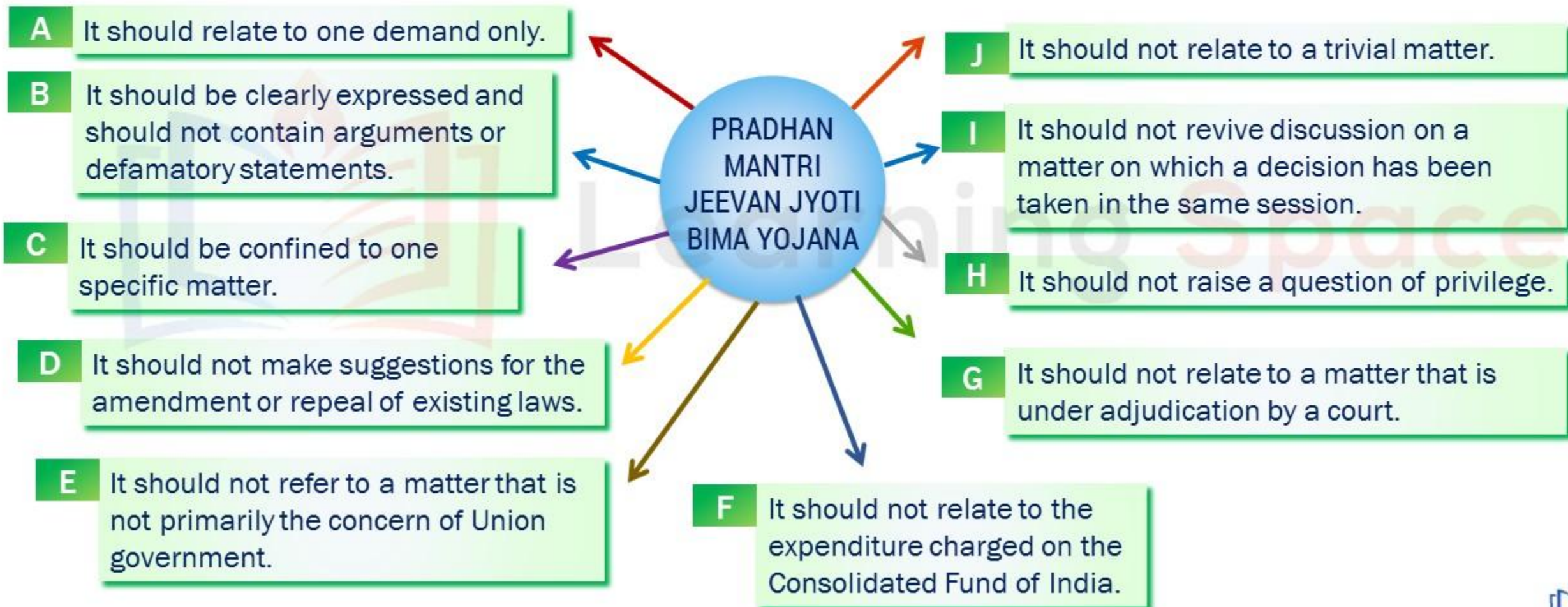


CUT MOTION

- 1 It ventilates a **specific grievance** that is within the sphere of responsibility of the Government of India.
- 2 It states that the amount of the demand be reduced by **Rs 100**.

4 VOTING ON DEMANDS FOR GRANTS

A cut motion, to be admissible, must satisfy the following conditions:



PARLIAMENT

STAGES IN ENACTMENT

4 VOTING ON DEMANDS FOR GRANTS

- 3 The significance of a cut motion lies in:
- a) facilitating the initiation of concentrated discussion on a specific demand for grant; and
 - b) upholding the principle of responsible government by probing the activities of the government.

4 However, the cut motion do not have much utility in practice.

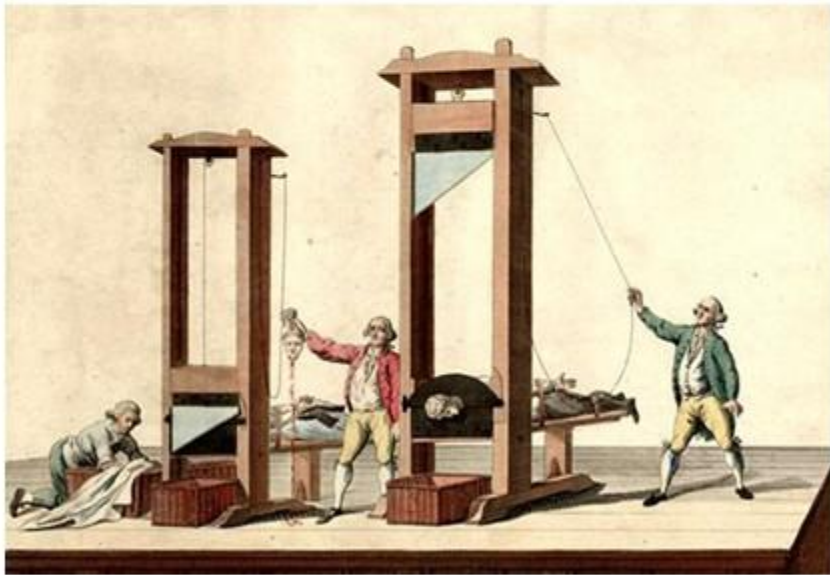
5 They are **only moved and discussed** in the House but not passed as the government enjoys majority support.

6 Their passage by the Lok Sabha amounts to the expressions of **want of parliamentary confidence** in the government and may lead to its resignation.

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STAGES IN ENACTMENT

4 VOTING ON DEMANDS FOR GRANTS



7 In total, 26 days are allotted for the voting of demands.

8 On the last day the Speaker puts all the remaining demands to vote and disposes them whether they have been discussed by the members or not.

9 This is known as 'guillotine'.

PARLIAMENT

STAGES IN ENACTMENT

5 PASSING OF APPROPRIATION BILL



Appropriations
Bill

- 1 The Constitution states that 'no money shall be withdrawn from the Consolidated Fund of India except under appropriation made by law'.

- 2 Accordingly, an appropriation bill is introduced to provide for the appropriation, out of the Consolidated Fund of India, all money required to meet:

- a) The **grants** voted by the Lok Sabha.
- b) The **expenditure charged on the Consolidated Fund of India**.

- 3 No such amendment can be proposed to the appropriation bill in either house of the Parliament that will have the effect of **varying the amount or altering the destination of any grant voted**, or of **varying the amount of any expenditure charged** on the Consolidated Fund of India.

PARLIAMENT

STAGES IN ENACTMENT

5 PASSING OF APPROPRIATION BILL



4 The Appropriation Bill becomes the Appropriation Act after it is assented to by the President.

5 This act authorises (or legalises) the payments from the Consolidated Fund of India.

6 This means that the government cannot withdraw money from the Consolidated Fund of India till the enactment of the appropriation bill.

7 This takes time and usually goes on till the end of April.

8 But the government needs money to carry on its normal activities after the end of the financial year.

PARLIAMENT

STAGES IN ENACTMENT

5 PASSING OF APPROPRIATION BILL

- 9 To overcome this functional difficulty, the Constitution has authorised the Lok Sabha to **make any grant in advance in respect to the estimated expenditure for a part of the financial year**, pending the completion of the voting of the demands for grants and the enactment of the appropriation bill.



- 10 This provision is known as the '**vote on account**'.
- 11 It is passed (or granted) after the general discussion on budget is over.
- 12 It is generally granted for two months for an amount equivalent to one-sixth of the total estimation.

PARLIAMENT

STAGES IN ENACTMENT

6 PASSING OF FINANCE BILL

1 The Finance Bill is introduced to give effect to the financial proposals of the Government of India for the following year.

2 It is subjected to all the conditions **applicable to a Money Bill**.



3 Unlike the Appropriation Bill, the amendments (seeking to reject or reduce a tax) can be moved in the case of finance bill.

4 According to the Provisional Collection of Taxes Act of 1931, the Finance Bill must be enacted (i.e., passed by the Parliament and assented to by the president) within 75 days.

5 While the Appropriation Act **legalises the expenditure side of the Budget**, the Finance Act **legalises the income side of the budget** and completes the process of the enactment of the budget.

PARLIAMENT

OTHER GRANTS

In addition to the budget that contains the ordinary estimates of income and expenditure, various other grants are made by the Parliament under extraordinary or special circumstances:



SUPPLEMENTARY GRANT

It is granted when the amount authorised by the Parliament through the appropriation act for a particular service for the current financial year is found to be **insufficient for that year**.

ADDITIONAL GRANT

It is granted when a need has arisen during the current financial year for **additional expenditure upon some new service** not contemplated in the budget for that year.

PARLIAMENT

OTHER GRANTS

EXCESS GRANT

- 1 It is granted when money has been spent on any service during a financial year in excess of the amount granted for that service in the budget for that year.
- 2 It is voted by the Lok Sabha after the financial year.
- 3 Before the demands for excess grants are submitted to the Lok Sabha for voting, they must be approved by the Public Accounts Committee of Parliament.

VOTE OF CREDIT

- 1 It is granted for meeting an unexpected demand upon the resources of India, when on account of the magnitude or the indefinite character of the service, the demand cannot be stated with the details ordinarily given in a budget.
- 2 Hence, it is like a blank cheque given to the Executive by the Lok Sabha.

OTHER GRANTS



EXCEPTIONAL GRANT

It is granted for a **special purpose** and forms no part of the current service of any financial year.

TOKEN GRANT



- 1 It is granted when funds to meet the **proposed expenditure on a new service** can be made available by reappropriation.

- 2 A demand for the grant of a token sum (of Re 1) is submitted to the vote of the Lok Sabha and if assented, funds are made available.

- 3 Reappropriation involves transfer of funds from one head to another.

- 4 It does not involve any additional expenditure.

DO IT FOR YOURSELF QUESTION

LIST – I	LIST – II
a) Token grant	1. It is granted for meeting an unexpected demand whose details cannot be stated.
b) Exceptional grant	2. It is voted by the Lok Sabha before the end of the financial year.
c) Vote of credit	3. It is voted by the Lok Sabha after the end of the financial year.
d) Excess grant	4. It forms no part of the current service of any financial year.
	5. It is granted when funds to meet proposed expenditure on a new service can be made available by reappropriation.

Codes

	A	B	C	D
(a)	4	3	5	2
(b)	5	4	1	3
(c)	3	4	2	1
(d)	5	3	1	4

ANSWER: B

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